

The middle and bottom of the pattern almost never saw price drop that far. Thus a stop placed at either of those locations would work well, except that the potential decline might be too large. So *do* check the drop and see if you can tolerate such a loss without having a coronary.

A handy stop location is below the handle low. I checked it to see how well the location worked. A stop placed a penny below the handle low would trigger 21% of the time. That sounds a bit high to me, but it will keep the loss reasonable (but check that, too).

[Table 21.8](#) shows the performance over three decades. This table interested me because I wanted to see the performance over time (because the cups in this new edition perform much better than the ones I found in the second edition, which I wrote in the early 2000s).

**Performance over time.** Performance has been improving steadily over the years. So it's not my imagination that cups perform better now than the ones I looked at 15 years ago.

**Failures over time.** I counted how many patterns failed to see price rise more than 5%. The failure rates are stable over the three decades.

[Table 21.9](#) show busted pattern performance.

[Table 21.7](#) How Often Stops Hit

| Description    | Bull Market |
|----------------|-------------|
| Pattern top    | 82%         |
| Middle         | 9%          |
| Pattern bottom | 1%          |
| Handle low     | 21%         |